with good balance sheets.

You have been very successful in keeping your losses small. Is there more to it than just going to cash when the environment is uncertain?

It's also the type of companies that I buy—companies with good balance sheets and solid free cash flow. I'm always trying to buy a dollar's worth of assets for 50 cents, which helps limit the downside.

How do you decide where to get out of a position?

It's valuation driven. I wait till the stock is fair valued.

Do you ever hold profitable positions beyond what you consider fair valuation?

No. I made a lot of mistakes doing that over the years. For example, holding onto a position for a full year for tax reasons, and then giving up profits I would have locked in. You want to stay true to the investment process. When I buy a stock, I identify the difference between what I think it is worth and the stock price. Once the share price closes the gap, I sell all or most of it—I sometimes hold on to a small residual position—and move on to the next investment. That might take a year, or it might take a month.

What personal characteristics have allowed you to be successful?

I try to stay as unemotional as possible when things go against me.

What is your advice about investing in stocks?

You need to always keep in mind that stocks are units of ownership in a business. If you buy a stock at a good valuation, and the price goes down, unless something has changed with the business or business outlook, you should stay the course, or possibly even buy more. Conversely, don't get carried away if the stock goes up. You should use the same valuation discipline to decide where you're going to sell. If the stock reaches what you think is fair value, take your profits and go on to the next one.

Wouldn't staying the course, let alone buying more, be a dangerous prescription if we are in a bear market?

That's different. I was talking about price fluctuations in a single stock. I know how to analyze companies. I don't know how to analyze the